

Indigo 025

Originator: Spandana Sphoorty Financial Limited

August 16, 2024

Instrument	Amount (₹ crore) [@]	Balance Tenure (months) [*]	Credit Enhancement (₹ crore)		Rating ¹	Rating Action
			Cash Collateral	Over Collateral		
Series A1 PTCs	2.58	7	2.01	3.74	CARE AA- (SO)	Reaffirmed

Details of instruments/facilities in Annexure-1

[@]After July 2024 payout.

^{*}Tenure/door-to-door maturity may change due to prepayments or changes in interest rates if any.

Rationale and key rating drivers

CARE Ratings Limited (CARE Ratings) has reaffirmed the rating of the Series A1 PTCs issued by Indigo 025, backed by microfinance loans receivables originated by Spandana Sphoorty Financial Limited (SSFL), at 'CARE AA- (SO)' [pronounced as Double A Minus (Structured Obligation)].

Reaffirmation in the rating is primarily based on the performance of underlying loans in the last 13 months post-securitisation, robust legal structure, well-defined payment mechanism, significant build-up in cash collateral (CC) and over collateral (OC) – as a percentage of the balance amount of pass-through certificates (PTCs), subordination of excess interest spread (EIS), servicing capability, and overall performance of SSFL.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors - Factors that could, individually or collectively, lead to positive rating action/upgrade:

- Delinquencies (90+ days past due [DPD]) of <2% and the sustained high collection efficiency (cumulative collection efficiency of >95%).

Negative factors - Factors that could, individually or collectively, lead to negative rating action/downgrade:

- Delinquencies (90+ DPD) of >5% and the sustained lower collection efficiency (cumulative collection efficiency of <85%).
- Deterioration in the credit profile of the originator.
- Any utilisation of CC.
- Non-adherence to key transaction terms envisaged at the time of the rating.

Analytical approach

The rating is reaffirmed based on inter alia, observed and expected performance of pool, presence of credit enhancement and adherence to the transaction structure.

Pool Performance Summary:

The pool has amortised by 78.01% in 13 months post-securitisation, with nil utilisation of CC. The pool has exhibited low delinquencies. As of May 2024, overdue (OD) (as a percentage of the initial principal outstanding [POS]) is 1.05%. The credit enhancement (CE) available is sufficient to sustain the rating for the balance tenure.

Pool summary (as of July 2024 payout)	
Months post-securitisation	13
Pool amortisation	78.01%
30+ delinquency (percentage of the initial pool POS)	2.48%
90+ delinquency (percentage of the initial pool POS)	1.67%
Overdue amount (percentage of the initial pool POS)	1.05%
CCE	98.58%
CC as a percentage of the balance pool POS	77.90%
Cumulative prepayments	14.71%

¹Complete definitions of the ratings assigned are available at www.careedge.in and in other CARE Ratings Ltd's publications.

Detailed description of key rating drivers

Key strengths:

- CC as a percentage of PTC POS is 77.90%, which remains unutilised, and OC, which is 144.66% of PTC POS.
- The pool has performed on expected lines for 13 months (post-securitisation) and has amortised around 78%.
- Well-defined payment mechanism and adherence to the transaction structure.
- The 90+ DPD and OD in the pool is low at 1.67% and 1.05% (as a percentage of initial pool POS), respectively.

Key weakness:

- Weak borrower profile as this segment is susceptible to socio-political interference and other external shocks.

Liquidity: Strong

The inherent liquidity in the structure is strong. The interest payouts for Series A1 PTCs are promised monthly, while the principal of Series A1 PTCs is promised to be paid by final legal maturity. In case of delinquency, the payouts are expected to be supported by credit enhancement consisting of CC, principal subordination in the form of OC, and EIS.

Key rating assumptions

CARE Ratings has analysed the transaction to assess whether the CE is sufficient to cover shortfalls. Since the transaction is sensitive to the credit quality of the underlying pool, CARE Ratings has analysed the performance of the pool and the overall portfolio performance of the originator. Considering the borrower profile and the nature of the loan, the pool characteristics and the portfolio performance, CARE Ratings has taken the average shortfall from 7.00% to 9.00% of the principal outstanding. The base case shortfalls were stressed and other key factors such as the timing of shortfalls, the recovery assumptions, and the time to recovery. CARE Ratings has found that the CE provided is sufficient to cover shortfalls in a stress scenario commensurate with the assigned rating. The pool cash flow has been further adjusted for prepayments of underlying loans, assuming monthly prepayments between 0.5% and 1.0%.

Applicable criteria

[Policy on Default Recognition](#)

[CARE Ratings' methodology for asset/mortgage-backed securitisation](#)

About the company and industry

Industry classification

Macro-economic Indicator	Sector	Industry	Basic Industry
Financial services	Financial services	Finance	Securitisation

SSFL was incorporated on March 10, 2003, under the provisions of the Companies Act, 1956. It was registered as on non-deposit accepting non-banking finance company (NBFC) with the Reserve Bank of India (RBI) and was classified as an NBFC-microfinance institution (MFI) effective April 13, 2015. The company went into CDR, post the AP crisis in 2010 and exited CDR in April 2017.

SSFL was promoted by Padmaja Reddy, who holds around 15% stake in the company and is a member of the board but does not hold significant control. Other major stakeholders are Kedaara Capital and Affiliates (holding 58.19%), JM Financial Products Limited (holding 9.94%), and Valiant Mauritius Partners FDI Ltd. (holding 9.46%). The new CEO, Shalabh Saxena, and the CFO, Ashish, have prior experience in Bharat Financial. The positions of CTO, CBO, and CXO were also filled thereafter by Kedaara Capital.

SSFL has presence in 14 states with 1,533 branches. The portfolio is moderately diversified, as Madhya Pradesh constituted the maximum of 21.31%, and the top four states constituted 76.06% of the portfolio. SSFL is focused towards its micro-credit business and follows the joint-liability group (JLG) model for risk mitigation. SSFL's business is targeted towards under-privileged women. Each centre typically manages one to three groups, with each group consisting of eight to 12 members.

Key financial indicators – SSFL

Particulars	FY22 (A)	FY23 (A)	FY24 (A)
Total income (₹ crore)	1,392	1,394	2,407
PAT (₹ crore)	47	12	468
Total assets (₹ crore)	5,264	9,186	12,870
Net NPA (%)	6.78	0.58	0.29
ROTA (%)	0.68	0.15	4.24

A: Audited; Note: these are latest available financial results.

Status of non-cooperation with previous CRA: Not applicable**Any other information:** Nil**Rating history for last three years:** Annexure-2**Covenants of rated instruments/facilities:** Annexure-3**Complexity level of instruments:** Annexure-4**Lender details:** Annexure-5**Annexure-1: Details of instruments/facilities**

Name of the Instrument	ISIN	Date of Issuance	Coupon Rate (%)	Maturity Date	Size of the Issue (₹ crore)	Rating Assigned along with Rating Outlook
Pass-through certificates		30-06-2023	10.50	17-02-2025	2.58	CARE AA- (SO)

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024	Date(s) and Rating(s) assigned in 2022-2023	Date(s) and Rating(s) assigned in 2021-2022
1.	Pass-through certificates	LT	2.58	CARE AA-(SO)	-	1)CARE AA-(SO) (04-Oct-23) 2)Provisional CARE AA-(SO) (28-Jun-23)	-	-

LT- Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities

Not applicable

Annexure-4: Complexity level of instruments rated

Sr. No.	Name of Instrument	Complexity Level
1.	Pass-through certificates	Highly complex

Annexure-5: Lender details

Not applicable

Note on complexity levels of rated instruments: CARE Ratings has classified instruments rated by it on the basis of complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

Contact us

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About us:

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